ENTERGY CORPORATION

NYSE: ETR | Regulated electric utilities in Louisiana, Arkansas, Mississippi and Texas | New Orleans, Louisiana

Tommy Lau | 2 November 2026 | Initiation of coverage | Independent research

NO CALL	**Target price:** None (no call)	**Last price:** US$110.11 (NYSE close, 30 October 2026)	**Upside:** Base value US$123 (+11%)

Entergy bought its place in the turbine queue early, and Meta pays for the plants. At US$110 the shares already price the plan.

Entergy Louisiana builds the gas plants for Meta's Hyperion campus. My October piece argued that building your own gas power swaps the grid's queue for the turbine makers'. Entergy's filings show that queue from the buyer's side: an exclusive agreement guarantees it one manufacturing slot a quarter, and it raised its minimum order from 15 to 27 sets in a year.

The growth is real and well protected: Meta pays minimum bills, funds part of the build and owes an exit fee. But at 21.6 times the 2027 consensus, and 22.5 times forward against 19.1 times for large peers, the price pays for Entergy's outlook to 2030. The second Meta agreement, now settled with the regulator's staff and due for a vote in December, is already inside it.

My call: no call, with medium conviction. Twenty-one and a half times the 2028 outlook midpoint of US$5.70 gives US$123, up 11%, inside a range of US$98 (down 11%) to US$143 (up 30%). That is short of my 15% bar for a long.

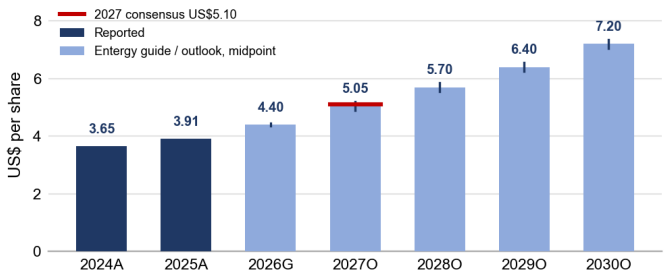
Stock data
LAST PRICE **US$110.11, NYSE close 30 October 2026; record close US$117.91 on 30 Apr 2026, intraday high US$118.45 on 1 May 2026**
MARKET VALUE **US$52.6bn on 477.8m shares (30 Jun 2026 plus the 2 Sep forward settlement)**
NET DEBT, 30 SEP 2026 **US$30.7bn; enterprise value about US$83.3bn; FFO to adjusted debt 16.8%**
2026 GUIDE **Adjusted EPS US$4.35 to 4.45, narrowed 2 Nov 2026; 2030 outlook US$7.05 to 7.35 (9 Jun 2026, affirmed 2 Nov)**
P/E **25.0x 2026 guide midpoint; 21.6x 2027 consensus (US$5.10); 19.3x 2028 outlook midpoint**
DIVIDEND **US$0.68 a quarter, declared 2 Nov 2026, up 6%; yield 2.5%**
CONSENSUS (STOCKANALYSIS.COM) **Average target US$119.71 (24 analysts); forward P/E 22.5x**
NEXT EVENTS **LPSC vote on the second Meta agreement, December 2026 meeting, after a settlement with staff; Q4 results February 2027 (date not set)**

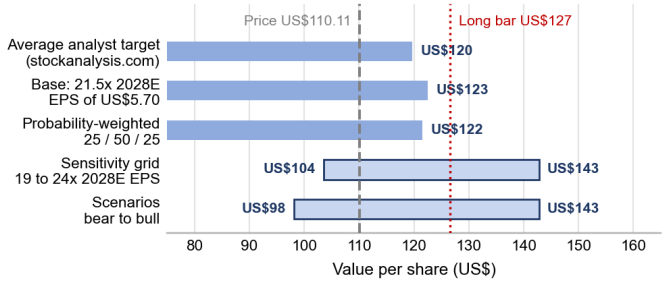
Key financials (calendar years; adjusted EPS as Entergy defines it)

US$ per share unless stated	2024A	2025A	2026G	2027O	2028O	2030O
Entergy guide / outlook range			4.35 to 4.45	4.90 to 5.20	5.55 to 5.85	7.05 to 7.35
Adjusted EPS (2026 on: my estimate, the midpoint)	3.65	3.91	4.40	5.05	5.70	7.20
Growth (%)		7.1	12.5	14.8	12.9	
Consensus EPS (stockanalysis.com)			4.41	5.10		
Projected rate base, US$bn (Entergy)		46	58	73	80	97
Capital plan that year, US$bn (10-Q)			13.2	16.8	15.4	9.3
P/E at US$110.11 (x)			25.0	21.8	19.3	15.3

G = Entergy's guide, narrowed on 2 November 2026; O = its outlooks from the Investor Day of 9 June 2026, affirmed on 2 November 2026. My estimates sit at the midpoints. 2024A and 2025A as reported (Q4 2025 release, 12 February 2026). Rate base is Entergy's internal estimate including construction work in progress. Consensus retrieved 2 November 2026.

Two charts: earnings on the company's own outlook, and a value close to the price



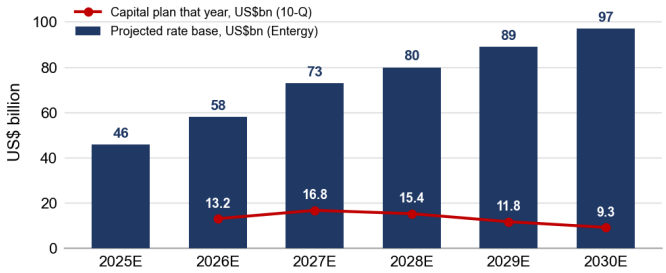


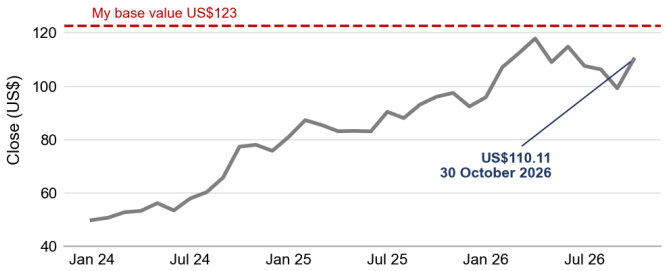
Left: adjusted EPS, 2024A and 2025A as reported, then the midpoints of Entergy's guide and outlooks with their ranges, against the 2027 consensus (red). Right: value per share from the base case, the weighted cases, the sensitivity grid and the bear to bull range, against the price (grey) and the 15% bar for a long (red).

The thesis: the utility that stood in the queue first

Think of the well from the piece. Your street needs water, and one big new neighbour needs a lot of it. The water company offers to dig a deep well for him. It books the drilling firm years ahead, makes the neighbour pay a minimum fee whether he draws water or not, and charges him if he walks away. The regulator lets the company earn a fixed return on every pipe it lays.

That is Entergy. It earns an allowed return on its rate base, the value of the plants and wires it owns; in Louisiana the allowed return on equity is 9.3 to 10.1%, on an equity ratio of about 51%. It plans to spend about US$66.5bn from 2026 to 2030 and projects rate base rising from US$46bn in 2025 to US$97bn in 2030, about 16% a year. Weather-adjusted industrial sales rose 9.6% in the first nine months of 2026, led by data centres and primary metals.





Left: Entergy's projected rate base, Investor Day of 9 June 2026, and its capital plan by year, Form 10-Q for the quarter to 30 June 2026. Right: Entergy month-end close, split-adjusted, January 2024 to the 30 October 2026 close, against my base value (red). Yahoo Finance, read 2 November 2026.

Hyperion is the clearest case. In October 2024 Entergy Louisiana asked the Louisiana Public Service Commission to approve three combined cycle gas plants, 2,262 MW, for a Meta data centre in Richland Parish. The commission approved a settlement in August 2025. Franklin Farms Units 1 and 2, about US$2.4bn together, are due in 2028 and Waterford 5 in 2029; a 500 kV line adds about US$0.5bn. In March 2026 Entergy Louisiana signed a second agreement with Evest LLC, another Meta subsidiary, and filed for seven more plants, 5,278 MW at about US$12.9bn, in service in 2030 and 2031, plus a US$1.4bn line. In April the commission set the case for its December 2026 meeting, and on 2 November Entergy said it had reached a settlement with the commission's staff, whose terms I could not yet read in a filing. These are the facts my piece used, and Entergy's filings match each of them.

The claim holds, and Entergy shows it from the buyer's side. It signed an exclusive agreement with an unnamed major vendor to make power island equipment and combustion turbines for gas turbine sets larger than 400 MW. It guarantees one manufacturing slot a quarter for up to five years. Entergy raised its minimum order of power island sets from 15 to 21 in the third quarter of 2025 and to 27 in the second quarter of 2026, and had taken 10 by the end of June. A heavy turbine slot sold today ships in 2032; Hyperion's first plants arrive in 2028 and 2029, before Meta's lease begins in 2029, because Entergy ordered early. What a data centre buys from Entergy is a date.

The customer pays for the risk. The second agreement makes Meta's subsidiary pay Entergy's incremental costs through contributions to construction, other advance payments and minimum monthly bills. If it leaves early, restructures or defaults, it owes Entergy's unrecovered costs, and a Meta Platforms guaranty backs it. The investor day listed 15 to 20 year terms for all

its large data centre contracts. Customer advances rose from US$2.3bn at the end of 2025 to US$3.7bn at the end of June 2026, and the return on construction they fund added US$0.21 a share to the rise in EPS over the first nine months, against the same months of 2025.

Variant perception: what the market prices in, and where I differ

At US$110.11 Entergy is worth US$52.6bn, with net debt of US$30.7bn at the end of September. It trades at 25.0 times the 2026 guide midpoint and 21.6 times the 2027 consensus of US$5.10. On stockanalysis.com's forward measure it is 22.5 times, against a median of 19.1 times for NextEra, Southern, American Electric Power, Duke and Xcel: about 3.4 turns more, like for like. The premium has a reason: Entergy's outlook takes adjusted EPS from US$3.91 in 2025 to US$7.05 to 7.35 in 2030, about 13% a year, and the consensus agrees with it. Third quarter results on 2 November, after this price, were strong: US$1.98 against US$1.53, about US$0.24 of it weather. Entergy narrowed the 2026 guide to US$4.35 to 4.45 and affirmed every outlook, which leaves the 2028 figure I value unchanged.

Date	What happened	Move
30 Apr 2026	Record close US$117.91, the day after Q1 results	Peak
6 May 2026	Day after a US$2.175bn share sale with forwards	down 3.7%
29 Jul 2026	Q2 results; guide and outlooks affirmed	down 4.0%
September 2026	No company results	down 6.6%
October 2026	Month to the 30 October close	up 10.9%
2 Nov 2026	Q3 results, settlement with staff, dividend up 6%	After this price

Moves from the previous close to the close on the day; months are month-end to month-end. Yahoo Finance.

Where I agree with the market. The growth is real and better protected than most utility growth. A customer that pays a minimum bill, funds part of the build and owes an exit fee is better than a new housing estate. Entergy reported 2025 in the top half of its range and affirmed the whole outlook on 2 November.

Where I differ: the December vote is not upside. The 10-Q says the updated 2026 to 2030 capital plan reflects incremental investment primarily for the resources in the March 2026 application. The settlement with staff makes an outright rejection less likely, but approval only keeps the plan whole; rejection, or conditions that move cost back onto Entergy, cuts it. On my arithmetic the two Meta agreements are about US$18.4bn of plants and lines, about 28% of the five-year plan by gross cost, taking Waterford 5 at the cost of one Franklin Farms unit, as Entergy's testimony suggests. That is a rough guide, not a bound: some spending falls after 2030 and customers fund part directly, while the second application also holds batteries and other lines the 10-Q does not cost. If all US$14.3bn of the second agreement's plants and main line entered rate base at the Louisiana allowed return, they would earn about US$706m a year, about US$1.42 a share, from 2030, against the 2030 outlook of US$7.20.

The other customers are the real constraint. In June the commission's staff argued that the need for the Cottonwood plant Entergy wants to buy is driven mainly by data centre loads, whose owners should bear the cost. In January intervenors asked for an inquiry into the financing Meta arranged for Hyperion. In the second case they won, in part, a subpoena of Meta's data, which Meta moved to quash in July. Entergy says its contracts will save other customers about US$7bn over their lives. Funding costs too: about US$7bn of new equity by 2030, US$4.1bn of it done by June, which is why EPS grows about 13% a year while rate base grows about 16%. **The price already pays 19.3 times the 2028 outlook midpoint.**

Valuation, with the working

I value Entergy on adjusted EPS, as it reports them, twelve months out: by October 2027 the market will price 2028 as the year ahead. For a regulated utility whose earnings follow rate base under formula rate plans, the price to earnings ratio is the method the market uses. My estimates sit at the midpoints of Entergy's own ranges, because it has delivered on them.

The multiple. I use 21.5 times 2028 earnings: today's 21.6 times the 2027 consensus, held a year forward. It assumes the premium over the 19.1 times peer median, about 3.4 turns like for like, neither widens nor narrows while Entergy grows faster. 21.5 x US$5.70 = US$122.55, 11.3% above the price.

Scenarios: three cases, twelve months out

Case	What happens	2028 EPS	Multiple	Value	Change	Weight
Bear	The commission rejects or heavily conditions the second Meta agreement; the growth premium goes	US$5.45	18x	US$98	down 11%	25%
Base	The 2028 outlook midpoint holds; today's multiple held a year forward	US$5.70	21.5x	US$123	up 11%	50%
Bull	Approval, more of the 7 to 12 GW data centre pipeline signs, the outlook rises	US$5.95	24x	US$143	up 30%	25%
Weighted	**25 / 50 / 25**			**about US$122**	**up 10%**	

Bear earnings sit below the bottom of the 2028 outlook (US$5.55) and bull earnings above its top (US$5.85). The bear multiple of 18x is near the low end of the large-utility peers. The 7 to 12 GW of data centre prospects beyond the base plan is from Entergy's Investor Day of 9 June 2026.

Sensitivity: 2028 EPS against the multiple

2028 EPS	19x	21.5x	24x
US$5.45	US$104	US$117	US$131
US$5.70	US$108	**US$123**	US$137
US$5.95	US$113	US$128	US$143

Seven of the nine cells sit above the price, but only four sit 15% or more above it, and all four need 24 times, or US$5.95 of earnings at 21.5 times or more. None sits 25% or more below. A long needs the base 15% or more above the price, a short 25% or more below. At 11% above, my call is no call, with medium conviction. Four dividends would lift the base case to about 13.8%.

Peer landscape

Company	Ticker	Forward P/E	EV/EBITDA	What they run
Entergy	NYSE: ETR	22.5x	15.1x	Regulated utilities in Louisiana, Arkansas, Mississippi and Texas; gas, nuclear and solar
NextEra Energy	NYSE: NEE	20.3x	21.2x	Florida Power & Light and a large renewables developer
Southern Company	NYSE: SO	20.1x	12.8x	Regulated utilities in Georgia, Alabama and Mississippi; Vogtle nuclear
American Electric Power	Nasdaq: AEP	19.1x	13.3x	Regulated utilities in 11 states; largest US transmission network
Duke Energy	NYSE: DUK	18.8x	11.5x	Regulated utilities in the Carolinas, Florida and the Midwest
Xcel Energy	Nasdaq: XEL	18.2x	14.4x	Regulated utilities in eight Midwest and Western states

Forward P/E and EV/EBITDA from stockanalysis.com, updated 2 November 2026. Peer median forward P/E excluding Entergy: 19.1x. Multiples are used only to set the range; no view on the peers' shares is expressed.

Catalysts

When	Event	What I watch
November 2026 (not dated)	Q3 Form 10-Q	Terms of the Evest settlement with staff: cost sharing, credit support, any change to the plants
December 2026 meeting	LPSC vote on the second Meta agreement; Waterford 6 and Westlake	Approval as filed, conditions that shift cost, or delay
February 2027 (date not announced)	Q4 2026 results and 2027 guide	2028 outlook midpoint against US$5.90; equity still to raise
2028	Franklin Farms Units 1 and 2 in service	On time and on budget; the first test of the queue place

Risks: what would hurt the view

The December vote. The commission decides without a formal recommendation from the administrative law judge; the release names a settlement with staff only. A rejection, delay or cost-shifting conditions cut a plan the price already assumes: the bear case, a 11% fall.

Other customers and politics. Staff and intervenors pressed on who pays for data centre plants in three proceedings this year. If bills rise faster than Entergy has promised, the next approval gets harder.

Construction. Entergy has its slots but must still build seven large plants on time; the second agreement carries penalties, up to termination, if it fails its performance obligations.

Storms and funding. One bad Gulf Coast hurricane season can cost billions, though Entergy holds storm escrows and has used securitisation. It needed about US$2.9bn more equity by 2030 at the end of June; FFO to adjusted debt was 16.8% in the year to September.

What would change my mind

Into a long: a price below about US$106.57, or a 2028 outlook raised to a midpoint of US$5.90 or more after approval, which at 21.5 times gives about US$127, 15% above the price. **Into a short:** a price above about US$163, or a rejection of the second agreement with the shares still near today's multiple.

My call is wrong if: The shares close above US$135 or below US$90 in October 2027, or 2026 adjusted earnings per share land below the US$4.35 bottom of Entergy's narrowed guide, or the Louisiana commission rejects the second Meta agreement.

Conclusion

The October piece argued that building your own gas power swaps the grid's queue for the turbine makers'. Entergy's filings show it from the buyer's side: one slot a quarter, a minimum order raised from 15 sets to 27 in a year, and plants for Meta that arrive in 2028 and 2029 because they were ordered early. Nothing in the filings says the piece was wrong. The shares already pay for it: 21.6 times next year's consensus, and the second Meta agreement is already inside the outlook. My call: no call, with medium conviction; base value US$123, range US$98 to US$143.

Appendix: forecast assumptions

Assumption	2026E	2027E	2028E	Basis
Adjusted EPS, US$	4.40	5.05	5.70	Midpoints of Entergy's guide and outlooks; P/E of 21.5x on 2028E
Waterford 5 cost			US$1.19bn	Half of the two Franklin Farms units, from the 10-K's 'similar to the cost of each'

All my estimates unless marked as Entergy's. Full workings, with live formulas, in the accompanying model, 2026-11-02_Entergy_Model.xlsx.

Sources

Entergy earnings releases (Form 8-K, Exhibit 99.1) of 12 February, 29 April, 29 July and 2 November 2026, for adjusted earnings, guidance, sales, the return on construction work in progress, cash, debt, credit metrics, the Evest settlement with staff and the dividend. Entergy Form 10-Q for the quarter to 30 June 2026 for the capital plan, the second Meta agreement and its schedule, contract protections, the subpoena and Cottonwood disputes, the equity plan, the power island agreement, customer advances and shares. Entergy 2025 Form 10-K for the first Meta application, its costs, dates and termination payments, and the January 2026 motion. Entergy 2026 Investor Day presentation, 9 June 2026, for the outlooks, rate base, equity plan, contract terms, pipeline and Louisiana allowed return. Entergy Forms 8-K of 23 June and 2 September 2026. Meta 2025 Form 10-K for the lease; GE Vernova call of 28 October 2026 for the 2032 slot. Prices from Yahoo Finance; consensus, targets and peer multiples from stockanalysis.com (S&P Global data); retrieved 2 November 2026. Estimates for 2026 to 2028 are the author's own.

About this note

I wrote this note and built the accompanying model independently. It is not a product of any bank or broker. It tests a claim from my journal piece, thephysicallayer.fyi/journal/building-your-own-power; all notes and their track record are at thephysicallayer.fyi/research. Figures from company filings are labelled as such; derived figures are marked; the forecasts and view are my own estimates and my own view. I hold no position in Entergy. Personal research, not investment advice.

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